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ARTICLES

Market Socialism and the Property Problem: Different Perspective of the Socialist Calculation Debate

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Historical Argument and Market Socialist Response

In 1920 Mises presented his famous essay on socialism, which would change, and eventually destroy, the whole scientific case for Marxist socialism (Mises 1990). Afterward, no one could seriously defend that doctrine. Mises argued that socialism cannot be effectively organized because of the "calculation problem." He based his analysis on the comparison of central planning to the private property regime. Here is a brief summary of his argument.

Socialism means the abolition of private property. More precisely—it means an outright nationalization, that is, a *compulsory creation of one owner, which is to be sustained by compulsory measures*. With one owner established, it is impossible for him to be involved in exchange, since by definition, an act of exchange is possible only if there are at least two owners. Hence without exchange it is impossible to create a price system, which reflects monetary inputs and outputs in the processes of production. Every factor needs to be priced in terms of money if one wants to assess its utility and productive employment in the economy. In the socialist economy there are no prices, thus this assessment does not exist. It is not possible to exercise economic judgment *ex ante* (before production) without prices; neither is it in the *ex post* (after employment decisions).

After Mises demolished Marxist analysis, socialist economists did not question the idea that prices are a necessary means for the productive employment of the factors of production in a complex economy. Prices, in their eyes, were very important *parameters*, without which correct economic decisions in modern reality

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are impossible. Whereas the first socialists responding to Mises were naïve in their analysis of the price system,[1] this was not the case in the Anglo-Saxon world, where advocates of central planning offered a market socialism model that was very similar to the working mechanism within the capitalist system. Consumers would spend their earned money on final goods. This would be a clear indication of what should be produced and by what means. Through these consumer signals, value would be imputed to producers' goods; therefore the price system could easily be created.[2]

At first the central planner would simply set prices at whatever level he might want. Next a list of prices would be published and the managers of public enterprises would produce half-finished products and consumption goods at a level guaranteed to minimize costs. Moreover, the price list would be adjusted to the conditions of demand, and any shift in prices would be a result of the existence of surpluses and shortages. In the case of capitalism the situation is very simple. When prices are too low, shortages quickly appear; when they are too high, we face surpluses. Exactly the same mechanism would be present under market socialism; therefore there is no essential difference between capitalism and socialism. The proper model of socialism allows for the efficiency of the production process—prices adjust so as to equalize the level of supply to the level of demand.

Lange based his thesis on the market socialism model first presented by Fred Taylor, whose view is compatible with Lange's (although the former wrote about *factors* and the latter about *commodities*, the basic trial and error method is adopted in both the consumer and the resource market; prices of factors are to be imputed from the consumer market).[3] Other socialist economists agreed on this point and repeatedly based their efficient socialist model on Taylor's insights. The function of prices is to equalize quantity demanded and quantity supplied and to optimize the level of production. This has nothing to do with the property system, but rather with the existence of prices that are free to adjust to the presence of shortages and surpluses.[4]

We should add two important points in defense of the market socialism model. First, this model is not based on abstract equilibrium analysis, i.e., it is not a product of a simple perfect competition model, in which prices for the factors of production are set automatically by their marginal productivity. It is a purely practical project

[1] See Mises (2002), the first response to particularly weak criticism.

[2] Famous responses to Mises include: Lange and Taylor (1956), Dobb (1933), Dickinson (1933), Durbin (1936), Knight (1936), Lerner (1934). See also newer work: Gordon (1970), Roemer (1992).

[3] Imagine a simple scenario: there is a shortage of chairs—the price is raised in order to satisfy greater demand. But the price for wood stays the same, hence the managers have an incentive to increase production of chairs—greater demand for wood causes its relative shortage. Then the price for wood should also be raised—by this method prices would be imputed in market socialism in a dynamic setting without any assumptions about "equilibrium" in the production structure. Shleifer and Vishny (1992) argue that managers would have an incentive to create shortages of output and collect bribes from consumers. But this as they note is present if the managers cannot keep profits. This relates to the incentive problem, which could be solved by relating wages of managers to their performance within the market socialism price structure (the lower costs they achieve, the higher salary they get).

[4] That is why Hayek sees the problem of market socialism in the fact that "changes will occur later than they would if prices were determined by the market parties" (Hayek 1940, p. 135). Moreover, for Hayek the difference between the market system and socialism is due to centralization, not difference in property regimes (p. 131).

with a clearly realistic mechanism of dealing with the problem of efficient allocation of resources. No equations are written, there are no functions describing optimal solutions for the structure of production; we have a list of prices for all the factors, a list that is intended to bring balance between the supply and demand for these factors. We should certainly not criticize the model on the grounds that it is possible only in the "stationary" or "equilibrium" state. This model describes the mechanism in the real and dynamic world no less than the capitalistic model. That is why we doubt whether some Austrian theoreticians are correct in arguing that the market socialism model is a product of "preoccupation with equilibrium."[5]

Professor Boettke's (2001, p. 40) answer is that Lange's model assumes everything it needs to prove. Similarly Professor Kirzner (1988, p. 7) says that Lange's model is a result of equilibrium analysis. The same is the case with Vaughn (1994) and Bradley (1981, p. 32). These writers rely on Hayek's statement about the "excessive preoccupation with problems of the pure theory of stationary equilibrium." A closer look at Lange's statement, however, reveals that this thesis in not necessarily correct. His trial and error method *is not about equilibrium analysis.* There is no equilibrium theory here, as Lange himself clearly stated:

> To establish the prices which serve the persons "solving equations" as a parameters no mathematics is needed either. Neither is there needed any knowledge of the demand and supply functions. The right prices are simply found out by watching the quantities demanded and the quantities supplied and by raising the price of a commodity or service whenever there is an excess of demand over supply and lowering it whenever the reverse is the case, until, by trial and error, the price is found at which demand and supply are in balance.
>
> ...[T]here is not the slightest reason why a trial and error procedure, similar to that in a competitive market, could not work in a socialist economy to determine the accounting prices of capital goods and of the productive resources in public ownership. (Lange and Taylor 1956, p. 89)

It seems some Austrian theoreticians do not really address the trial and error method when their critique concerns the equilibrium model.[6]

The second point that needs to be emphasized in the analysis of market socialism is the fact that this mechanism solves the problem of economic calculation *per se.* The main thesis presented in Mises's original paper is the inability of the socialist state to arrive at calculation, because there is no *unit of account.* This problem, however, is avoided in market socialism, since prices on the central list are set in the universal medium of exchange—every single good has a price expressed in money. From that it follows that we can easily engage in cost accounting, which will show which process of production is profitable, simply by looking at revenues that are higher than costs. The problem of a heterogeneous capital structure, which does not

[5]This is a consequence of Hayek's rhetorical question (Hayek 1940, p. 131).

[6]Mises did not think that Lange's answer was an "equilibrium" answer. See below. Some Austrians' mistakes are understandable in light of the fact that even Lange himself did not completely realize that. In (1967) he revealed that he sees a market as a primitive calculator solving equilibrium equations, which can now be substituted for the supercomputer.

have a natural unit (you cannot add a hammer to a computer), is solved: centrally administered prices are expressed in one unit.

We see then that calculation is possible within the socialist system. Calculation would be impossible in socialism only if the "unit" needed for calculation did not exist. That is for example the case with utility calculation—there are no "utils," or any other units measuring utility.[7] The case is different with money prices under socialism—the unit *does* exist, hence *calculation is possible*.[8] After Taylor's response the relevant problem is as follows: is there an essential difference between the prices produced under the private property regime and the prices produced under socialism? Or to put it another way, in what way does calculation under private property differ from centrally planned calculation? The problem of socialism becomes a property problem, not a problem of calculation.

Mises's Response to Market Socialism

In his *magnum opus*, *Human Action*, Mises presented a critique of market socialism. The major significance of his book is that he made a clear-cut distinction between the "equilibrium solution" and the "trial and error method." This distinction is still not present in some modern Austrian writings. They are different things, and Mises

[7]See Rothbard (1956).

[8]The market socialism model is also perfectly compatible with Hayek's essay on knowledge, which could be titled "The Use of Knowledge in Socialism" with few changes of words that do not destroy the argument, e.g.:

> Fundamentally, in [socialism] in which the knowledge of the relevant facts is dispersed among many people, [market socialism] prices can act to co-ordinate the separate actions of different people in the same way as subjective values help the individual to co-ordinate the parts of his plan. It is worth contemplating for a moment a very simple and commonplace instance of the action of the [socialist] price system to see what precisely it accomplishes. Assume that somewhere in [the socialist economy] a new opportunity for the use of some raw material, say, tin, has arisen, or that one of the sources of supply of tin has been eliminated. It does not matter for our purpose—and it is significant that it does not matter—which of these two causes has made tin more scarce. All that the users of tin [in socialism] need to know is that some of the tin they used to consume is now more profitably employed elsewhere and that, in consequence, they must economize tin. There is no need for the great majority of them even to know where the more urgent need has arisen, or in favor of what other needs they ought to husband the supply. If only some of them know directly of the new demand, and switch resources over to it, and if the people who are aware of the new gap thus created in turn fill it from still other sources, the effect will rapidly spread throughout the whole [socialist] system and influence not only all the uses of tin but also those of its substitutes and the substitutes of these substitutes, the supply of all the things made of tin, and their substitutes, and so on; and all his without the great majority of those instrumental in bringing about these substitutions knowing anything at all about the original cause of these changes. The whole acts as one [socialist] market, not because any of its members survey the whole field, but because their limited individual fields of vision sufficiently overlap so that through many intermediaries the relevant information is communicated to all. The mere fact that there is one central price for any commodity—or rather that local prices are connected in a manner determined by the cost of transport, etc.—brings about the solution which (it is just conceptually possible) might have been arrived at by one single mind possessing all the information which is in fact dispersed among all the people involved in the process. (Hayek 1945, p. 526)

properly pointed this out when he dealt with the two arguments in different chapters. The problems of the mathematical solution and differential equations are problems of equilibrium analysis, so their association with the dynamic model of "trial and error" and quasi-market is very loose.

First Mises points out that in order for the trial and error method to work it must be based on the "arithmetical process" providing a yardstick that would assess the height of profits and losses in production. He then emphasizes that without private ownership, buying and selling of factors is impossible, so no money prices suggesting their productive use can be formed (Mises 1966, p. 704). This, however, as we have seen, is not entirely fair to the socialists. Whether market socialism is feasible or not, it *does have* a unit that can be calculated and related to all the factors of production owned by one agency. In the Taylor–Lange model all the factors with their money prices are published on the centrally administered list, thus their usefulness might be computed in a common monetary unit. As we pointed out earlier, the problem changed after the Anglo-Saxon response and so the proper question should be: what is the difference between monetary calculation produced by the private property regime and monetary calculation produced by one compulsory owner of all the resources?

The problem of arithmetic is absent in market socialism, so Mises was incorrect, but his critique grows very strong, when it comes to managers' decisions. The planner sets the level of prices in the socialist economy and decides about the range of planning, but some of the decisions must be transferred into the hands of managers, who act in a similar fashion as the entrepreneurs do in the capitalist system. Lange argued that they could engage in the production process in exactly the same way as entrepreneurs do in the private property system. Their demand will depend on the final consumer demand and their choices will influence the volume of spending on particular factors of production. Cost accounting will easily develop; shortages and surpluses will indicate the correct direction in which centrally administered prices should change.

In order to fully grasp the Misesian analysis of the managerial model, it might be helpful to note the essential difference between Mises and Kirzner on this point. Kirzner's thesis is that *the manager can be an entrepreneur.* Not only that, but also the question of whether or not this is the case cannot be "decided by *a priori* reasoning" (Kirzner 1978, p. 72). It seems to be the natural consequence of Kirzner's statement that the entrepreneur does not need to own any resources. Mises's idea however openly rejects the thesis that entrepreneurship is possible without resources:

> The managerial function is always subservient to the entrepreneurial function. It can relieve the entrepreneur of a part of his minor duties; *it can never evolve into a substitute for entrepreneurship.* This fallacy to the contrary is due to the error confusing the category of entrepreneurship as it is defined in the imaginary construction of functional distribution with conditions in a living and operating market economy. *The function of the entrepreneur cannot be separated from the direction of the employment of factors of production* for the accomplishment of definite tasks. The entrepreneur *controls* the factors of production; *it is this control that brings him either entrepreneurial profit or loss.* (Mises 1966 p. 306; emphasis added)

This brilliant insight contradicts Kirzner's statement that ownership can be separated from entrepreneurial activity. As Mises emphasized, capitalism is an entrepreneurial system—a system based on private property. What defines the entrepreneur is the control of scarce resources in an uncertain world, not "alertness," but control and ownership. The entrepreneur is not "alert," he's "in control."[9] Alertness is possible under any system, including full socialism, and the analysis in this case can be based on empirical observations, not apriorism. It is entirely different from the problem of controlling the resources; under socialism the control lies in the hands of one agency, and no one else is permitted to act freely within that system. This fact can be recognized by *a priori* reasoning. In the Misesian framework entrepreneurship is necessarily abolished in the socialist system, but in the Kirznerian framework "entrepreneurship" might function under socialism.

Mises criticized the idea of substituting entrepreneurship (private property control) for public management on the grounds that managers can only act within the limits set by the final decision maker.[10] In the capitalist society, managers are bound by the shareholders and the capital owners, who do have the tools to allow them to decide ultimately what happens with the resources. In the case of the socialist economy there is only one ultimate decision maker: a central agency formulating the plan. In other words, managers cannot "play" competition, since in order to act like real entrepreneurs they would have to be fully sovereign in their decisions just as the private property owners are. But they are not, because any "competing" manager is equipped with resources and instructed by the same single owner. As Mises notes:

> The entrepreneurs and capitalists establish corporations and other firms, enlarge or reduce their size, dissolve them or merge them with other enterprises; they buy and sell the shares and bonds of already existing and of new corporations; they grant, withdraw, and recover credits; in short they perform all those acts the totality of which is called the capital and money market. It is these financial transactions of promoters and speculators that direct production into those channels in which it satisfies the most urgent wants of the consumers in the best possible way. These transactions constitute the market as such. If one eliminates them, one does not preserve any part of the market. What remains is a fragment that cannot exist alone and cannot function as a market. (Mises 1966, p. 708)

The entrepreneur must be in full control of the resources he directs. This control allows him to engage in competition with other owners, and this control brings him profits or losses. Capitalists decide what to do with a particular factory—e.g., they can at any time open a pharmacy, dance club, or hospital. They can choose among many different factors of production and the decision about the destination of the resources controlled by them *lies in their hands*. In the socialist economy it is

[9]For more critiques of Kirzner see: Salerno (1993) and Hülsmann (1997). Kirzner seems to go too far in his process of abstraction, since he abstracts from the very fact that he is supposed to explain ("precisive abstraction" (Long 2005)).

[10]And this insight is present not only in *Human Action*, but can be traced back to the original argument. See Mises (1990, pp. 33–40). Unfortunately this argument is unnecessarily mixed with the "incentive problem," which might cause confusion.

necessarily absent, since, as we have indicated, socialism is a compulsory creation with one owner deciding about all the resources. Managers are not the ultimate decision makers, and the breadth of their decision-making is a product of one socialist plan imposed by a central agency. It is an illusion and an open contradiction to call that situation competition, since *the "competitive" conditions are a by-product of one will acting.*

Every single manager is equipped with resources by the decision making body and his alternative choices are given to him by one economic planner. He cannot simply close the factory and start some other business; he is not allowed to offer different prices than the ones in the central plan. The manager cannot simply withdraw resources from one line of production and put them into the another; he cannot speculate and try to guess the future more accurately than the central planner, because he must obey his master (central planning board). He is not free to choose, since the very idea of socialism is to take the control away from the people and put it into the hands of one state-organized agency. This will not be a real market, where different owners bind each other's choices, but a *false*, staged, *market.* Calling this situation sovereign decision-making is contrary to both common sense and economic science. The rules of competition are imposed by the central planning agency, hence it is the very agency and its plan that decides about production—not "competing" managers.

Extending Mises's Criticism: The Fallacy of Centrally Administrated Prices and the Process of Equilibration in Socialism

Although Mises did not fully address the "trial and error" method, he did however present a powerful critique of the socialist-managerial system, a critique that can easily be extended to the analysis of prices and the equilibrating mechanism ("equalizing" demand and supply) under socialism. First let us state the problem once again. After the market socialist response, the debate changed from the problem of calculation to the problem of property—is there a difference between the calculation of money ratios under socialist production and the calculation of prices produced in the private property regime? And if a difference exists, what are the economic implications of this difference? What are the characteristics of these numbers in socialism as compared to capitalism?[11]

To understand the nature of market socialism we must go back to the basic point, of what socialism is. Let us repeat then, socialism is a compulsory control of all the productive resources in society by one owner who is supported and maintained by the use of power. What matters is that there is one owner of all the factors and the decisions concerning these factors lie completely and ultimately in the hands of a single entity. The final verdict cannot be challenged, no one is free to question it, or compete with this agency. The decision is up to one owner, whether it be collective or individual.

[11] As Professor Herbener (1996) argued, in socialism there is a problem of calculation, since we cannot add apples to oranges. This problem, however, is absent in the market socialist model—we have one unit, in which everything is priced, so the "calculation problem" (the problem of adding) is solved.

The organization of the whole capital structure, the relationship among different stages of production, the amount of employment of different factors among the sectors—all this is subject to one will. This central planner has to deal with the fact that there are many heterogeneous capital goods, which can be employed in many different ways. He exclusively makes the decisions, and every step in production must conform to his plan. Therefore, it is a final, central, and authoritative plan of one owner that directs all the resources.

What the central planner will do and how factors will be allocated is completely up to his decision. Either way, since he is the only owner and decision maker, he makes the judgment and he will assess that judgment. Nobody else is granted that power. This fact is an essential feature of all socialist programs and should never be forgotten, no matter what kind of "socialism" we're talking about. It is exactly the same case with market socialism.

How according to Lange should socialism be organized? All the factors owned by one agency should be listed centrally and the central planner should set a price for them, then allow directors and managers to act upon these prices. This, however, does not change the fact that market socialism is still socialism, and still has the same basic rule. Prices on that list are set by the central agency, the decisions by directors and managers are derivative of the central planner's instructions, and changes in these centrally administrated prices are a product of the very will that organized the whole production. We see then that *market socialism with its paper price system is no different from pure dictatorship.*

One will produces the price list and one will assesses the production afterward. Its decisions are subjected to its own assessment. This neglects the basic feature of any kind of objective test. Whether decisions are correct or not, the assessment of their correctness must come from outside the confines of these decisions. Acting and assessing man needs some external yardstick, which will help him to judge whether he makes bad decisions. And who is the judge in the case of market socialism?

The central planner sets any prices he wants for all the factors. Then from the very beginning he makes the judgment about the situation in which he is about to act, so he does not need any numbers in the first place. Let's imagine that Robinson Crusoe wants to make a sandwich. Instead of just preparing the sandwich he starts to price all the factors he has. Bread is 2 R-dollars, butter 1 R-dollar, and ham 2 R-dollars. Then Crusoe prints 6 R-dollars and gives them to himself in exchange for the sandwich. The ratios in this situation are not needed, since all decisions are subject to his own will's assessment. Only Crusoe decides what happens, and what should be judged as wrong. If one person acts, there is no point at all in assigning numbers to every resource that he uses. This is due to the fact that he does not need to deal with these numbers as if they were a *constraint* upon his action. He produced these numbers and he can easily change them as he wishes. The numbers are not needed at all.

A similar absurdity lies within the "equilibration mechanism." Imagine a socialist economy, in which the central planner owns every single factor of production. He also decides about the whole structure of production. What then does the phrase "quantity supplied equal to quantity demanded" mean? Let us consider the following example: hammers made of steel. Who decides about the price of steel? The central planner. Who decides about the fact that forgone alternatives cannot be realized? The central planner. Who decides about the *ex post* judgment? The central planner. The whole process is subject to a single will and one will only. Hence *quantity supplied and quantity demanded are always equal.* Since everything is owned by one will, it simply follows that every single unit of any stock is demanded by the central planner. However, the central planner cannot tell which particular employment is more or less efficient, since every single unit of capital good finds its employment (in the hands of the central planner).

Let's imagine that one person owns five chairs and a table. What is the price that equalizes the quantity demanded and supplied in this situation? The answer is: *any price*. If the price is three chairs for one table, then one will "exchanges" three chairs for one table, and two chairs represent the "reservation demand." The *ex post* situation is that the quantity demanded equals the quantity supplied. If the price is five, then the situation is exactly the same. If the price is six chairs for one table, then "exchange" is not realized, and there is a "reservation demand" for the table. But the situation is still the same as in all other cases. One will owns five chairs and one table—the quantity demanded still equals the quantity supplied, no matter what the price is. Assigning any ratios is clearly a game, since the planner still owns all the factors and he is making decisions.[12]

Socialists might respond by saying that these particular situations ("reservation demand" for the table, reservation demand for the chairs, or "equilibrium" at the price of five tables per chair) although from the point of view of ownership are the same, might still be a guide to allocating the tables and chairs in different ways. Of course, this could be the case, but it gets us back to where we started. The way in which this guide is constituted and exercised depends on...one will.[13]

Also, Lange completely misses the nature of the economic process being extended through time. Production is not instantaneously synchronized, which is why there is the phenomenon of "reservation demand." Let's imagine that some factory produced 100 computers. If these computers are not sold the next day, is the price supposed to be lowered in order to empty the warehouse? What is the sign of a surplus? Are we to recognize "surplus" as a *physical* observation of some goods

[12]Some might respond that in socialism the consumers will buy commodities and the mechanism of "trial and error" will be useful. However, (1) this will be the case of two wills, not one (the central planner *vis-à-vis* consumers), (2) this would set *constraints* upon the central planner, hence producing a better situation than one that would have existed without the free consumer market, but (3) this is not the main problem of socialism, since as Mises (1990) from the very start emphasized that the real socialist problem is the capital goods market, not the consumer market (Lange and Taylor suggested that free consumer markets should exist). Also, the consumer market is the last element of the economic system. If the whole production structure is destroyed, then very few consumption goods will be produced. The system will end up as in the former Soviet Union, where in every shop consumers were choosing between vodka and vinegar. And last, but not least, even in the consumer market there will be huge problems.

[13]As Bornstein (1962, pp. 97–98) wonderfully demonstrated:

> while prices can be set to equate supply with demand according to planner's preferences, these preferences cannot themselves be based on an independent calculation of opportunity costs, as reflected in independently determined scarcity prices, since the scarcity prices in use *are themselves fixed on the basis of planner's preferences*. (emphasis added)

being stocked?[14] Shall they all be sold in one hour? In the capitalist economy many cars are parked at every single moment, but nobody seriously calls this situation a "surplus" (Hülsmann 1996, p. 11).

Economic textbooks speak of demand and supply, the price system and exchange, when there is a two-person model (two owners). And with reason, we might add. It is useless to speak about supply and demand in the case of a Robinson Crusoe economy, because the whole economy is subject to his will.

Let us push the critique further, since most theoreticians suggested that the consumer market could work properly under socialism due to the "trial and error" method. However, the problems would still exist on the consumer market. How do we define surplus there? Are all goods supposed to be sold instantaneously? Are empty seats at the movies, on buses, or in cabs a sign of a surplus? Even the consumer market under socialism would be a mess. *Because for the consumer market to work one needs not only consumer prices adjustable to demand, but also the costs of production.* Since costs depend on one will and there is no imputation derived from different property owners (social appraisement process[15]), then even the consumer market cannot work properly in socialism (this will be explained more clearly in the next section, see especially the quote by Cole below).

As Mises demonstrated in his analysis of the "third way," the problem with price controls is not just that they cause goods to be stocked in some place or that we notice their deficiency (Mises 1952). The very nature of the problem is that *price control destroys the relationship between costs and consumer prices*, which falsifies the profitability produced by the judgment of owners. The problem is not the physical stocking, but the false relationship between costs and prices (Mises 1952, pp. 22–23). We can recognize a surplus or a deficit caused by the price control, because we know the relation between the prices of the factors of production as created by the private property owners and those consumer prices produced by the state. We compare the prices on the producer's market with the consumer prices imposed by the state. Only from that do we know the surplus or deficit and understand its relation to monetary prices. If the market for the factors of production is abolished, then the surplus and deficit cannot be spotted in the monetary sense.

The nature of a "surplus" and "deficit" cannot be analyzed through *physical* observation and cannot be grasped with one's eyes (as Lange suggested). It can only

[14]This is Lange's main point: "The use of right accounting prices is vital to avoid disturbances in the *physical* course of production and those prices are far from being arbitrary" (Lange and Taylor 1956, p. 93). Now, if we treated any good not used right away in the production process as a sign of a surplus, the results would of course be pretty obvious. Hammers not sold instantly are a sign of a "surplus," their price is lowered so that hammers are sold right away, but the production (according to the official tables) becomes unprofitable, hence no manager decides to produce hammers, because resources are more expensive. A "surplus" in the production resources is "solved" by lowering of prices for steel, wood, etc., so that everything from the inventories disappears. The natural end of this system is a gross shortage of everything in the whole economy.

[15]See Salerno (1990a, p. 57). It is worth pointing out that some very basic elements concerning "appraising" used by Mises and Salerno can be found in Böhm-Bawerk's analysis. "Subjective valuations" and "the *rational appraisal* of the functioning of prices" decide about the market operations. This "process" is not a metaphor but a "living reality" (Böhm-Bawerk 1959, vol. 2, p. 229). On the "social appraisement process" and the intellectual division of labor see the classic paper in Salerno (1990a, b).

be understood by using economic analysis, that is, with reference to the price system, monetary outlays, and monetary revenues. Just think about the case of a theater where ten people are watching a movie and there are fifty empty seats. No serious economist would call this situation a surplus, because he analyzes costs as compared to consumer prices. But in socialism there are no costs in the market sense (competing private property judgments). The socialist planner can only notice that some seats are empty.

What should he do in this situation? Lower the price in order to have a full theater for every single showing? The price would have to be really low in this case. If an entrepreneur in the market economy did that, he would immediately go bankrupt. The socialist planner would not go bankrupt and wouldn't even know that in fact he is not solving the problem of a surplus, but is instead creating a shortage![16] There would be no empty seats in a theater. But there would be a tremendous waste, overuse of resources and a shortage, which could not be spotted without the reference to the real market. In other words, consumer goods need not only valuation, but also appraisement. We see then that even the consumer market would be a mess under socialism.[17]

Capitalist Prices as Private Property Constraints

The characteristic feature of socialism as dictatorship will help us understand the nature of capitalism. Under the system of private ownership, heterogeneous goods are owned by many owners, who can exchange their property titles. Any entrepreneur is then *constrained* by certain external (to his will) factors in order to employ some factors of production and in order to successfully act.

First of all, he needs to buy the factors of production from other entrepreneurs. That is, the prices of these factors are not arbitrarily set by him, but are set by some *other decision maker*, and he just *faces* them. Of course, he can certainly influence these prices by his actions (that is, by buying the factors or abstaining from buying them). However, what we need to remember is that these prices are not produced by him alone, but by interaction with other people.

Second, the acting entrepreneur faces not only the prices of the factors of production, but also the fact that there are other entrepreneurs competing with him for the factors of production that he wants to buy. That is why his decision whether not to buy some factors, is not the only determinant of prices. The entire demand for the factors determines the price. We see that an acting entrepreneur is not only constrained by those who sell him the factors of production, but also by the competitors, who might be willing to bid up the prices even higher. We need to emphasize the point that the visions of the competing entrepreneurs (buying or not selling) are *in conflict* with the decisions of our entrepreneur. Essentially, it is not the

[16]We know this not from the point of view of the central planner, who obviously could not discover it, but only because we engage in a comparative analysis.

[17]Hoff (1981, Chapter 6) also argued this, but his analysis is based on the problems that exist even under capitalism (like substitution relations, elasticity discovery, and so forth). For a very good analysis of price controls see Reisman (1996, Chapter 7).

case that this entrepreneur *tells* his competitors what to do. If this were the case, we would then name the case a mere *play.*[18]

The third thing to point out is the *ex post* case. After buying the factors of production and producing something, the entrepreneur sells his product on the market. That is, again he is constrained by the decisions of other people who decide whether or not to buy his product. *As a result of the private property order*, this assessment is not produced by his will alone, but is a result of many people exercising their individual wills. If he decided about the demand for his product, then he would in fact decide about the amount of profit, therefore again this could be mere "play acting."

Our analysis explains in a nutshell how the market system works. The acting entrepreneur faces three important *constraints* on his actions. He faces the socially determined prices of the factors of production; he faces competing entrepreneurs who are also willing to buy these factors; and he faces an *ex post* judgment when he sells his finished product on the market. He is dependent on the *will of others*. To a certain extent he is a planner. He plans what to do with the resources he buys, what to produce, and where to sell. These decisions are purely *planning phenomena*. But the whole plan depends on the will of the entrepreneurs who sell the factors of production, on the will of other entrepreneurs who compete for the same factors of production, and the entrepreneurs, who, when the production is finished, decide to buy the finished product (or the consumers in the case of a final good). Hence we see that *planning within the private ownership system is conditioned by the planning of others*.

This is the essence of what was emphasized by the Misesian term "intellectual division of labor" (Mises 1990, p. 18; Salerno 1990a, p. 54).[19] In the market economy we have different owners deciding the destinations of owned resources. They are not dictators, since their decisions are constrained by the decisions of other owners, and this explains the phenomena of competition and demonstrates why prices in the private property system are not just cardinal numbers. They are the results of competing economic decisions. That is why they are relevant for the production process. When an entrepreneur *calculates* under capitalism, he is in fact referring to the judgment of others and dealing with competing plans of *other* property owners. When the central planner *calculates* in market socialism, he is only referring to *his* own opinion and judgment, because he *exclusively* produced the numbers he uses.

So the price ratios *per se* are not the key element here. The key element is competition, based on private property boundaries. If someone can produce cups and tables cheaper than an entrepreneur owning a bar, then it easily follows that he is more efficient at it. His intellectual entrepreneurial ability is a constraint upon the owner of the bar. When the owner of a bar determines in monetary terms that it is

[18] A "play" in a sense that everything would be staged by one person. In modern times, with the prevalence of game theory, we need to be careful with the usage of this term.

[19] We should add here that the Misesian intellectual division of labor should not be confused with Hayekian knowledge of particular place and time. These two are different phenomena. The term was also translated as "mental" division of labor. As we will see later it would be better to use the term "entrepreneurial" division of labor.

more *profitable* to rely on outsourcing than to produce the complementary factors on his own, then it simply means that his entrepreneurial ability in this field is lower than the ability of some other entrepreneurs. Once again, what is behind the capitalist prices is not just calculation *per se*. The capitalist price in itself is not a constraint, just as the knife did not kill Abel. What constrains the individual entrepreneur within the market system are the property decisions of the other entrepreneurs, *the price being only a manifestation of that constraint.*[20] Thus we see that the fundamental check upon vertical integration is not just a price system, but that which stands behind it: private property and the possibility of exclusion from the resources.[21]

The above paragraphs restate the Misesian analysis of capitalism as opposed to socialism. The fundamental problem of the economic system is not a "calculation" problem. Calculation is just adding and subtracting particular cardinal units that can be present under any system. The institutional framework, however, is not about ratios, but about making decisions and organizing the production process. When we say in the market economy context that it is not *profitable* to produce some particular economic good, we mean in fact that we are *constrained by the decisions of others*, who find our current judgment about the future to be wrong.[22]

Socialism, on the other hand, is an aggressive abolition of the property-judgment boundaries, which serve as a basis for the intellectual division of labor. Socialism means the *nationalization* of all resources, *expropriating private owners* and putting their property under the command of *one will*. All decisions in that economic system are dependent on one will. What should be done with a particular scarce resource? This will be ultimately decided by one person only (or one board), and not by competition. Other judgments resulting from private property and the intellectual division of labor are excluded by force, not by competition and successful planning. The point then is not that prices disappear in the socialist economy and we will not have cardinal numbers that enable us to generate profits and losses. The problem is that all decisions are compulsory made by one will only; everything is forcibly planned from the very outset. We can simply imagine the central planning board

[20]It is worth referring to Kornai's (1979) work here on the comparison of resource-constrained systems and demand-constrained systems. Property constraints in capitalism are economically expressed as demand constraints and budget constraints. In socialism those disappear and the only constraints left are resource constraints. Unfortunately those are not appraised in the competitive environment, hence the only thing achieved by socialism is shortage without efficient employment.

[21]This insight is particularly useful for the Austrian analysis of the firm. The famous article by Coase posed the question "Why do firms exist?" and hinted that the answer is supposed to be found in the relationship between "organization costs" and "transaction costs" (Coase 1937). The Misesian extension of the problem is quite obvious from the discussion above. The existence of firms is conditioned by the intellectual division of labor. When it is more profitable to use the external market (e.g., buy tables for a restaurant business) it is a manifestation of the intellectual division of labor. It means that there are other people, more skilled and gifted in their economic planning, i.e., they expend fewer money units to do the same job, hence they are more productive and the intellectual division of labor should step in. (Coase objected to finding the reason for the existence of the firm in the division of labor. But his arguments apply to the division of labor, not to the *intellectual* division of labor as developed by Mises and Salerno).

[22]Some might ask: who gave certain people the power to judge whether somebody is correct or not? The answer is that, in the market economy, the capital flows into the hands of those who were more successful in their judgments than others.

assigning ratios to different goods. But these ratios will not be the same as "prices" under capitalism. The essence of the price system under capitalism is not cardinal numbers *per se*, but cardinal numbers that are the result of the intellectual division of labor and competing private property owners. Under capitalism *price reflects a constraint* placed upon any entrepreneur by all the other entrepreneurs, those supplying the factors of production, those competing for them, and those assessing the decisions *ex post*. Under socialism all these constraints disappear because tanks, guns, and prisons are used instead.

In this environment, assigning ratios is just a game. Ultimately there is one owner, who decides about the employment of resources. He can assign some ratios and call them "prices," but the relevant question is who decides about these prices, who influences them, and who judges decisions *ex post*? The answer then is obvious: everything is dependent on the socialist will. These ratios are not useful, meaning that *they do not guide the central planner in any way, since he himself produces these ratios*. In the capitalist economy prices are guiding the entrepreneur, because they reflect competing judgments of many other owners. In the socialist economy there are no other entrepreneurs; there are no other decisions. And so there can be no constraints working as a check on any economic decision of the central planner.

Under socialism the external test, which would be a guide for the allocation of resources, is forbidden by compulsory measures. That is why the socialist planners attacked black markets: because the existence of these markets revealed the planners incompetence and lack of ability to reasonably run the economy.

Thus it is easy to see that market socialism is just a "play."[23] It is just a play, because *between market socialism and total dictatorship there is no difference*.

Interestingly, one of the few people who grasped this fact was a socialist G. D. H. Cole, who in the 1930s (before Mises used the term "play" market) explained the problem clearly and lucidly. It is worth quoting *in extenso*:

> A planless economy, in which each *entrepreneur* takes his decisions apart from the rest, obviously confronts each *entrepreneur* with a broadly given structure of costs, represented by the current levels of wages, rent and interest. But in a planned Socialist economy this is not the case; for these charges may not exist at all, or, if they do exist, they do so not as objective factors beyond the control of the collective *entrepreneur*, but as charges determined by that *entrepreneur* as elements of the economic plan. How far wages continue to exist depends on the methods adopted by the planned economy in distributing incomes to the citizens: how far rent exists depends on the decision of the collective *entrepreneur* to make at a level which it decides, or not to make at all, a charge for the use of land and other rentable property by its constituent enterprises: whether interest exists depends on the decision of the collective

[23]The term was used by Mises (1966, p. 709). This is, I believe, the essential argument against socialism, which was not sufficiently elaborated upon by the Misesians (and Mises himself). This also might suggest that Mises and Hayek do in fact differ in their analysis of socialism, since for Hayek the problem of market socialism was its *speed* of adjustment. For Mises the problem lies in the very *idea of adjustment*. Also it should be stressed, as Professor Salerno pointed out, when Mises used the term "play," he was speaking of playing children's games where the activity is *the end itself*. This paper, on the other hand, uses the term "a play" to mean that socialism is *staged by one will*.

> *entrepreneur* to credit. All these charges can be made, or not made; and, if they are made, the rates at which they are made are bound to be controlled rates, determined by the collective *entrepreneur* in one capacity and paid by this same *entrepreneur* in another capacity. Such charges may possibly serve a valuable purpose in cost-accounting; but they are utterly different in nature from the objective costs which the *entrepreneurs* in a planless capitalist economy have to meet.
>
> Accordingly, in a planned Socialist economy there can be no objective structure of money costs. Costs can be *imputed*, to any desired extent; and indeed, as long as money costs at all remain in being they must be imputed, to that extent at least. But these imputed costs are not objective, but *fiat* costs determined by the public policy of the State. The State decides, through its appropriate organs, what the level of wages are to be for the various occupations, what rents are to be charged, what interest is to be paid on capital, what industry is to contribute by way of taxation to the expenses to the State—or it decides to abolish such charges altogether. To the extent to which it retains any of them, it is imputing costs at a level which it decides for itself.
>
> But imputation can, if the State so desires, go much further than this; for costs can be imputed without being actually charged at all. Imputed wages, rent and interest costs can be chalked up against each separate enterprise belonging to the planned economy, without any money actually changing hands.
>
> ...[T]he expediency of such methods does not alter the fact that the structure of imputed costs is bound to be arbitrary. (Cole 1971 pp. 183–85)

We saw that, from the Misesian point of view, there is no difference between market socialism and total dictatorship. Both systems are the same. That is how the idea of a socialist economy can be rejected by *a priori* analysis. If there is one owner established by force—if everything depends on one compulsory agency—this means that every single element in the economy depends on its decisions, and the intellectual division of labor is abolished. Prices are set by one will; the employment of the factors of production is set by one will; their distribution is set by one will; the combination of the different factors is set by one will. This means that *profits and losses are already defined*. "Correct" and "incorrect" decisions are already recognized. Everything from the very beginning is a product of one will. That is, from the outset the planning depends on one owner and no established ratios can change the fact that there is no external judgment.[24] *This fact is a logical necessity.* That is why the "socialist economy" is a failure and *this is the only way* we can understand Mises's argument.[25]

The whole problem with socialism is that it is a one-will (owner) system, created through aggression and sustained by violence. The essential cause of its economic failure is that the pricing process or rationing process is imputed by one will using

[24] We can also make a statement that in practice socialist systems could, in a way, work, because they could rely on external judgments to be found in the world economy. Also let's not forget about the important and highly beneficial role of the black market.

[25] Hence we see that it is hard to agree with Vaughn (1980, p. 544) that Mises did not attack the trial and error method on logical grounds, but rather on practical grounds.

force. In the market economy the complex production process is dependent on the intellectual abilities of competing wills within a voluntary framework, and that is why the whole imputation process is different.[26]

Socialism: The Property Problem

The above analysis brings us to the conclusion that socialism is (contrary to the thesis of many modern Austrians) neither a calculation, nor a knowledge problem. It has nothing to do with numbers (calculation is based on them), and it has nothing to do with the states of mind and gathered data of any kind (knowledge). It has to do with actions of private property owners and the results of the entrepreneurial process of imputation. The abolition of private property is the abolition of the intellectual division of labor and of the whole "market." One will exercises its plan with the use of force and no one else can compete with it. No other owner is constraining its decision; nobody else can come up with a more productive idea for the use of a particular resource. Nobody else will judge whether the central planner's decisions would be efficient or not, since he himself is the ultimate judge in socialism.[27] Just as killing all the scientists would destroy technological advancement, killing all the entrepreneurs (private property owners), destroys the intellectual division of labor, which is the basis for the advance of the economy.[28]

Curiously, both Mises and Hayek to a certain extent recognized this fact in their responses to market socialists. Mises did not emphasize "calculation" in his critique of the "quasi market," and Hayek did not emphasize the "knowledge" of the circumstances of a particular place and time. Each felt he could not fall back on his original thesis. Although their assessments of Lange's proposition are not the same, at least they show that neither calculation, nor knowledge was the real problem. The central planner can produce prices for the factors of production and compute with them, subjecting them to the mathematical calculus. The central planner can also have every relevant datum. He can know the state and specifics of all the factors of production in a particular place and time, and all the possible ways of using the resources and technology. Moreover, let us suppose that he could somehow know the prices that would have been established on the market based on private property.

[26]Rothbard in his article on the socialist calculation debate touches on that problem (Rothbard 1991, p. 65), when he writes that the key element is price imputation of capital goods. This is the one point in which he is close to the real problem of socialism, but instead falls back again into the calculation problem and talks about "money prices" and the existence of "markets," somehow moving in a circle.

[27]Hayek also touched on this problem when he said that the economy needs "price competition," but he did not make this claim a central argument (Hayek 1940, p. 139).

[28]Managers in the socialist system are only subordinates. This is why they cannot be substituted for the entrepreneurs. As we indicated in the note above Mises was close to this in 1920, but unnecessarily mixed it with the classical incentive problem. He wrote: "The property owner on the other hand himself bears responsibility, as he himself must primarily *feel* the loss arising from unwisely conducted business" (Mises 1990, p. 40; emphasis added). The term "feel" (*spüren*) is misleading and surprising, especially to a praxeologist, for whom psychological speculations are not important. What matters is not his *feeling*, but the ability to act and *constraints* upon his actions.

This "economic knowledge" and these numbers, however, still would not help, because with the abolition of the private property regime, the whole competitive process is destroyed.

Predecessors

The analysis of socialism in this paper is clearly connected to the Rothbardian theory of monopoly (Rothbard 2004, Chapter 10). Rothbard argued that the problem of monopoly is that some competitors are excluded by force from the market, and cannot rationally appraise the factors of production, and serve the consumers. They are not allowed to bid for the factors of production, create new markets, offer new products. That is why a monopoly grant creates problems on a particular market, and hence causes a decrease in social prosperity. Socialism is just a universal and absolute monopoly of this kind.[29]

To understand the role of property, as opposed to numbers, in economic action, the following analogy should be helpful. Imagine a contest, in which dancers compete for a prize. Their performances are being evaluated by a panel of judges assigning cardinal numbers to each contestant. The best dancer is chosen by the judges. However it would be incorrect to state that the cardinal numbers allowed choosing the best performance. It is a judgment by the judges that allowed the whole contest to be realized. These numbers that we see on the boards raised by the panel are not just plain cardinal numbers—their meaning is much deeper than simple accounting. If one person decides to eliminate the judges and all other competitors, then the whole idea of the contest disappears. The case remains valid, even if one person pretends to compete with himself, and then pretends to be the judge by assessing his own performances with cardinal numbers. These numbers are produced by that person; hence the very judgment based on them does not make any sense here, because one will acts. The whole act is a play, because it is staged from beginning to the end.

The above metaphor shouldn't be taken as a metaphor for market activity, since the market is not like a simple competition for a prize. However the point stated above is a useful illustration of the fallacy of context dropping.[30] We cannot say that cardinal numbers allowed for the assessment of the dancers in the contest, because it is *not the numbers that allow for the assessment, but the decisions made by the judges*. Numbers are just a tool for them; they are not the primary reason for the action taking place.[31]

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[29]Rothbard would probably say that in the case of monopoly the problem is not some mystical lack of the "competitive price," but the lack of full private property in some sector. We argue the same about socialism: the problem is not lack of the "price system," but the abolition of private property.

[30]This popular mistake was used by Professor Reisman to criticize the Keynesian doctrine (Reisman 1996, p. 879).

[31]One of the most important papers written on the calculation debate in recent years, which was a great step in the reformulation of Mises's argument, was one by Professor Mahoney (2002). In this article Mahoney offered to change the word "price" for "the amount of property that needs to be given in exchange." Although to some it might seem only a definitional change, it is however a very important difference.

Some Austrians do not emphasize the problem of property and the intellectual division of labor enough and instead say that the socialist problem is a problem of the lack of prices and monetary calculation based on them. This is not the case—just as the problem of organizing a competition with one contestant is not linked to the lack of the judges' cardinal numbers, but to the lack of judges themselves. *We lack the judges in this case, not the numbers used by them.* The problem of economic order does not depend on some numerical system, but is strictly connected to the decision making, which cannot be separated from ownership.[32]

Eucken and Hutchison (1948b) should also be recognized for perceiving the basic flaw in the market socialist model.[33] At a time when the whole Anglo-Saxon world was drunk with the market socialism model, they pointed out something important: in socialism instead of *exchanges* we have *allocations*. Prices in socialism are the guide exercised by one will:

> To believe in the possibility of grafting prices on to the mechanism of control in a centrally administered economy is to believe in a squaring of the circle. Either the central administration is directing labour and means of production by its allocation, or the multitude of households and firms are decisive in the economy, in which case prices are formed. If control is left to the price mechanism, the central administration abdicates economically, while if the central administration takes over control, prices lose their directing function. (Eucken and Hutchinson 1948b, p. 190)[34]

In other words in a system based on one will, like socialism, prices are a product of this one will, so they cannot be a guide, since they are directed at all times by this very same entity. One should add that the above fact coincides perfectly with Salerno's capitalist social appraisement process, which in socialism is substituted by the one-will decision process. The purpose of this paper was to follow the advice of Eucken and Hutchison, who stated that "economics should pay more attention to this peculiarity of economic calculation in a centrally administered economy, for it exercises a significant influence on the way in which the economic process works out" (Eucken and Hutchinson 1948a, p. 89).[35]

We can think of some production process started by the central planner, which turns out to be inefficient and unprofitable. In the case of capitalism this project

[32] A good introduction to the idea of how a price should be viewed as a contract between two owners is Hoppe's analysis. See Hoppe (1988, Chapter 2).

[33] Actually Eucken is the main contributor, since he alone published the material before (in German).

[34] In fact if one wants to seriously study the economic calculation debate, it is absolutely necessary to read the ingenious article by Eucken and Hutchinson. They were, however, mistaken about connecting the one will problem to a "perfect competition" model. Nevertheless their arguments are very powerful. In the present paper we connect the one will problem to the property system.

[35] Paul Craig Roberts argued that market socialism and central planning are incompatible and having both of them is contradictory (1971). In fact the case seems to be that market socialism is *exactly the same thing* as central dictatorship planning (even on its highest theoretical level). Roberts referred to Eremin's view (1970), who argued that market socialism is an anti-Marxian concept. It is, however, a purely Marxian invention, intellectual manipulation, which is supposed to obscure the fact that market socialism in its fundamental assumptions is a pure dictatorship.

would be ended and the firm would be liquidated. But what does *this* mean? The consequence is that the less efficient owner loses control over the resources in favor of some other entrepreneur—the assets are switched. What does "liquidation" mean in the case of market socialism? The ownership does not change at all, hence there is no real bankruptcy process involved. In socialism there is no *social function of bankruptcy.*

Prices certainly are "signals." But they are not the signals transmitting knowledge—they are the signals of exclusion by other property owners. When some factor is priced, it means that one is excluded from using it, unless he is able to meet the condition of paying the asking price. In socialism, the central planner setting the price sets the exclusion or price for himself by himself. From this stems the absurdity of market socialism.

Prices also are not information signals about the immediate past. When an entrepreneur buys the factors today, looking at current prices, it is not the case that prices manifest only the past conditions. Today's prices manifest current conditions—present expectations of the private property owners—and they include current anticipations of future conditions. Therefore, when an entrepreneur looks at today's prices, he sees not only the immediate past, but conflicting visions about the future between different private property owners. So the prices do inform us about important conditions, and their function is not just to register the past.

Creating and Maintaining a Socialist Order

The above analysis also brings us other results. Every step toward socialism is *uneconomical,* since it is not a result of the intellectual division of labor, but is a natural consequence of antisocial action, qualified as *aggression*. Some agency, or man, *becomes the owner of all the resources, not because he was better in judgment than others, but despite the fact that he was worse than others*. Under capitalism ownership is growing in the environment of constraints, which we emphasized before. These constraints are the judgments of other people, who *decide* about the efficiency of actions. Under socialism, the case is totally different, because the constraints are removed by *force*. There is no voluntary decision-making process, which would place boundaries on actions. The decision is clearly uneconomical, because it produced different results than would have been produced on the market. The point of aggression is to bring about different results than the ones attained on the market. If the results of the initiation of aggression were the same as those on the market, there would be no point in engaging in aggression.[36]

Hence we can see why socialism is ineffective and cannot work. Rothbard (2004, p. 615) argued that the problem lies within the fact that the socialist economy is characterized by one owner only, hence there is no possibility of economic calculation, and so rational allocation is impossible. But, as we saw, the problem is not one owner *per se*, but rather *the elimination of the intellectual division of labor*

[36]On the difference between aggression and contract from economic and sociological points of view, see Hoppe (1988, Chapter 2).

by means of aggression. Socialism then is inefficient not because there is no price system, but because there is no private property. We can state it even more clearly: not because there is no private property, but because *the private property is destroyed* and resources are redistributed to expropriators, not to the best employers of resources. That very act of destruction is the sole cause of the socialist catastrophe, not lack of some price system *per se*.[37]

Lange, Taylor, Lerner, all socialist economists, could not succeed as entrepreneurs with economic integration toward one big cartel within the market context, because their planning abilities were worse than other entrepreneurs. They were so sure they would lose this competition that they did not even try to implement their plan within the social nexus. If that had happened we would have found out about their lack of abilities to organize the production system. That is why they proposed the opposite way: expropriating the very private property that had placed boundaries on their own poor skills. If socialists are so successful in their planning that they can organize the whole production system with the abolition of the intellectual division of labor necessary for it, then why do they not run the businesses and start voluntary transition toward one big cartel? If somebody can effectively organize the whole economy, then he can easily work on one particular market. Success on that market would bring him more capital, which would enable him to expand production and buy more and more firms. The fact that we do not see this happening is the result of the intellectual division of labor strictly associated with private property (these two are inseparable).[38]

It is no surprise that the officials have an incentive to abolish the whole private property system.[39] By doing so the objective constraints set by the judgments of skilled entrepreneurs are abolished, the boundaries set by the intellectual division of labor cease to exist. This removes *all the limits upon the decisions* of the dictators running the socialized economy. No other owner supplies the factors of production, no other owner uses prices to limit their overuse, no other owner constrains the central planner by the possibility of outcompeting him in judgment (and offering a higher buying price), and there is no *ex post* judgment which would also be a constraint on future actions. Everything is owned by one agency; there are no limits to its decision and no boundaries set by the decisions of others. The full ideal of total dictatorship is established. No wonder then that the expropriators will support the

[37]"Every step that takes us away from private ownership of the means of production and from the use of money also takes us away from rational economics" (Mises 1990, p. 20).

[38]We cannot act without the means to act. We cannot employ resources and utilize the intellectual abilities to plan economically without property.

[39]An interesting comment on government projects justified by the use of "cost-benefit" analysis may be added. The government, after nationalizing some portion of the resources (money income), can buy the factors of production needed to arrive at some ends. But this does not mean that the previous decision was economical. Taking the money with the use of force (and not the intellectual division of labor) is an aggressive removal of private property constraints. Buying the factors later is another constraint that was not removed. What happens here is: the government officials say between the lines "we nationalized your money, but we didn't nationalize the factors of production". A similar case is the thief who has stolen some amount of money and buys something in the shop, instead of stealing the product also.

case for the fastest nationalization possible. This phenomenon is explained by Lange:

> [A] comprehensive socialization programme can scarcely be achieved by gradual steps. A socialist government really intent upon socialism has to decide to carry out its socialization programme *at one stroke*, or to give it up altogether. The very coming into power of such a government must cause a financial panic and economic collapse. Therefore, the socialist government must either guarantee the immunity of private property and private enterprise in order to enable the capitalist economy to function normally, in doing which it gives up its socialist aims, or it must go through resolutely with its socialization programme at maximum speed. Any hesitation, any vacillation and indecision provokes the inevitable economic catastrophe. Socialism is not an economic policy for the timid. (Lange and Taylor 1956, pp. 124–45)

Moreover, Lange supports our thesis stating,

> The socialist government must start its policy of transition right away with the *socialization* of the industries and banks in question....If the socialist government would attempt to control or supervise them while leaving them in private hands, there would emerge all the difficulties of forcing a private entrepreneur or capitalist to act differently than the pursuit of profit commands. (Lange and Taylor 1956, p. 122)

What does it mean that the capitalist or entrepreneur acts in order to achieve profits? This means that he would act in order to allocate resources efficiently and to succeed in the correct judgment of the future. This poses a serious threat to the officials, whose lack of planning skills would soon be demonstrated by the superior decisions of the entrepreneur. Hence, the interest of the growing state is to destroy the whole private sector and loosen all the constraints placed upon any decision. The most salient historical case for this is that of Pol Pot in Cambodia. We should also point to Lange's emphasis on expropriating the property by surprise, because if some people knew about the incoming nationalization, they would try to secure their wealth (Lange and Taylor, p. 123).[40]

It is important to add that after socialism is established, there is a need for total slavery in order for the central planners to stay in control. Freedom of action by the individuals would leave open the possibility of creating a market. If consumer goods are to be privately owned, if people were free to pursue any career, then entrepreneurship might be established in some sphere. This is the result of the connection between consumption and production goods, and also of the fact that the socialist dictator has practical problems with overseeing every single citizen.

This is exactly what happened in the former Soviet Union, where the black market prospered within the system and allowed for the production of goods that were not produced by the government apparatus. A limited range of possible actions, combined with the ability to avoid the state's control, often accompanied by the

[40]Curiously despite their huge differences both Mises and Lange agreed on the instability of "middle of the road" policy.

corruption of officials, allowed for some sphere of entrepreneurial activity. Since the government becomes the owner despite its poor skills in economic planning, it should hardly surprise anybody that those underground entrepreneurs were very effective in their actions. This underground intellectual division of labor and a narrow field of ownership allowed for creation of the price system and saved the people from starvation and certain death. It also showed how superior are actions based on the ethical system of property rights as compared to the socialist system, which in essence steals everything. This price system only showed how absurd was the official "system" set by central planners.

This sociological analysis, obvious to most, brings us to not so obvious, although important, theses that can be developed within the property constraints framework. First, the organization of production into different firms, industries, and stages of production as well the appointment of managers and the allocation of labor among the different branches of production is already decided upon by the central planner *before* the trial and error method can even proceed, whereas under capitalism it is the *outcome* of the pricing process.[41]

Second, there is a huge difference between one cartel established under capitalism (voluntary) and one owner established under socialism. Under capitalism one owner in the global cartel still faces the property boundaries and can be constrained by other property owners, who might decide to compete with him. This is a powerful check on his decisions, and under socialism this is necessarily absent, since competitors are not outcompeted but compulsorily excluded.

Third, democrats are on the right track when they claim that the key to success of the political and economic order depends on the *social control* of the decision process. What they fail to realize is that the most successful method of social control is *not* voting in a very narrow and staged process of choosing between political parties. The most efficient of all possible controls is the right to peacefully exclude others from resources. It is hard to imagine a more successful way of controlling the officials and their actions than by threatening them with consumer sovereignty. In the light of, "I might stop giving you my money," the threat, "I might not vote for you in four years" seems childish.

And fourth, the most important mistake in the post-Soviet systems is not the lack of desocialization, but the lack of competition. Governments in the post-socialist countries do not allow competition to take place. They still regulate the economy; they levy high taxes and intervene in the monetary sphere. If they would allow for competition and full private property rights from the current owners even without a just denationalization, this would bring huge benefits, and quickly liquidate the newly created welfare state. The *current* problem is a *lack of property constraints right now*, not lack of them in the past.[42]

The scope of these points is of course beyond this paper.

[41] I am grateful to Professor Salerno for this point.

[42] The establishing of private property constraints would require a right to secede.

Concluding Remarks

We tried to demonstrate in this article that the problem with socialism is not about numbers, price lists, calculation, gathered data, assimilated data, or any similar features. Socialism has to do with the property system on which it is based. As Mises brilliantly summarized: the establishing of socialism is a step that abolishes the whole economy, since the "intellectual division of labor" is impossible. Under socialism there are no competing entrepreneurs, who compete with their property (intellectually) for the productive employment of all the factors, who subject themselves to the constraints manifested by others, and who subject themselves to external judgment. Socialism is a disaster created and sustained by one compulsory will. We also showed that even the consumer market cannot work properly under socialism.

We also defended the market socialist model against the argument that it cannot solve the "calculation problem" and the argument that it refers only to "equilibrium" conditions.

"Calculation" must mean the "exclusion" from the realization of certain plans. It is not to be understood as a problem of the "unit of account" or the "arithmetical process." Similarly "knowledge" must mean knowledge of what private entrepreneurs would do (and one can know this only by letting them act).

Marx hated capitalism and wanted to abolish the division of labor (so for him the natural economy seemed to be a better idea). Lange on the other hand hated capitalism and wanted to abolish the intellectual division of labor. We conclude with Eucken's statement: "Competition can be used to improve efficiency, but as a mechanism of direction for an important section of the economy it cannot be applied without the abdication of the central authority" (Eucken and Hutchinson 1948a, p. 94).

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